TSLA Decision Memo

Decision and committee ask

Recommendation: watch/defer; do not initiate a TSLA position. I ask the committee to keep TSLA on the monitored list and require the next two reported quarters to show evidence that incremental AI, factory, and service investment is producing durable operating-margin and cash-flow improvement before reopening an initiation decision.

This is an educational analysis for a buy-side equity-research committee, not investment advice. The financial-statement and bridge date is December 31, 2025; the retained market reference is September 10, 2026. Values are USD millions except per-share values.

Valuation and strongest evidence

The linked five-year FCFF DCF produces **enterprise value of $43.0 billion**, **equity value of $77.9 billion**, and **$22.09 per diluted share** in the base case. The WACC/terminal-growth sensitivity grid spans **$18.58 to $28.17 per share** across 8.5%-12.5% WACC and 1.5%-3.0% terminal growth. It is a stress range, not a probability distribution.

FY2025 reported operating income was $4.355 billion. The initial bridge adds $44.059 billion of cash and short-term investments and deducts $8.400 billion of debt and finance leases plus $0.728 billion of redeemable/noncontrolling interests. The model uses the FY2025 diluted weighted-average share convention of 3.528 billion shares. These facts and locators appear in `docs/evidence-ledger.csv`.

The retained September 10, 2026 screen record shows a $367.95 August 2026 month-end adjusted close. It is not used to create the valuation; it is only a reference point for the conditional action. The difference between it and the DCF result is too large to be resolved by a minor change in WACC or terminal growth.

Material assumptions and sensitivities

The forecast assumes revenue growth of 5%, 6%, 7%, 6%, and 5% in FY2026-FY2030 and EBIT margins of 6%, 7%, 8%, 9%, and 10%. It assumes capex of 10% of revenue, D&A of 6%, operating NWC at 3.5% of revenue, a 27% operating tax rate, 10.5% WACC, and 2.5% terminal growth. These are analyst assumptions, not management guidance.

The largest tested driver is EBIT margin. A two-percentage-point lower margin path produces $16.15 per share; a two-point higher path produces $28.04. The corresponding revenue-growth shift range produces $20.24-$24.19. This ranking applies only over the stated ranges; it does not assign probabilities or prove margin is always more important than growth.

Risks, failure conditions, and monitoring

The model's terminal value is 80.6% of enterprise value, so long-run margin and reinvestment assumptions dominate the conclusion. The bridge currently treats all cash and short-term investments as non-operating pending an operating-liquidity and tax analysis. AI infrastructure and factory capex could create returns not captured by this simple forecast, while regulatory-credit persistence, legal/regulatory outcomes, dilution, digital assets, and the SpaceX investment remain unresolved. A comparable-company and transaction cross-check is not yet decision-ready because point-in-time peer data has not been refreshed.

Reversal trigger: reconsider the action when two consecutive filings show operating margins and incremental operating cash flow consistent with a credible, source-supported path toward the model's 8%-10% FY2028-FY2030 EBIT margin range, and when the cash/investment bridge and peer data have been refreshed to one common as-of date. **Kill/escalation trigger:** withdraw the current valuation conclusion if the bridge no longer reconciles, the terminal-value share rises further without new support, or a material filing changes the operating/non-operating classification.

See `docs/validation-and-ai-use.md` for tests and disclosed AI use.